Manipal Hospitals' acquisition of Pune-based Sahyadri Hospitals highlights the consolidation and expansion underway in India's healthcare sector. For Temasek, the deal is an example of how healthcare platforms can scale into strategically important geographies through mergers & acquisitions (M&As), while access to capital can support further organic expansion.

Temasek has invested in Indian healthcare for two decades and now counts the sector among its top three areas of investment in India. Its healthcare portfolio spans hospitals, diagnostics, pharmaceuticals, medical devices and digital health, with investments including Manipal Hospitals, Cloudnine, and PharmEasy, which has a significant diagnostics business through Thyrocare.

The investment firm sees a long runway for growth as rising incomes, changing disease patterns and demand for quality care drive the sector forward. It sees opportunities not only in multi-specialty hospitals but also in single-specialty care, diagnostics, affordable medical devices and digital health.

Ravi Lambah, Head, Strategic Initiatives, Temasek International, and Head, India, Temasek Global Investments, spoke with *Business Today* about Manipal's expansion, the next phase of growth in Indian healthcare, opportunities across the ecosystem, the role of AI, and the gaps around capacity, affordability and access that still need to be addressed. Edited excerpts:

Q: Temasek has invested across multiple segments of India's healthcare ecosystem. What is your view on the evolution of the sector?
A: We have invested in Indian healthcare for two decades, and our conviction has strengthened as the sector has matured. The opportunity was initially anchored in under-penetration, rising incomes, and growing demand from families seeking better care. Over time, that has grown into a much broader ecosystem opportunity. That is why healthcare is a structural, multi-decade opportunity, and is now one of our top three sectors in India.

"India has made real progress, but there is always more we can do. Capacity is one area, particularly in expanding the clinical workforce and reaching Tier-II and Tier-III cities"

Q: From an investor's perspective, what will define the next phase of growth?
A: The next phase for us is about scaling our healthcare portfolio responsibly. The industry continues to evolve, with ongoing improvements in both access and affordability. We will work with our portfolio companies to scale organically and through M&As, focusing on building a high-quality presence across geographies. Manipal Hospital's acquisition of Sahyadri Hospitals in Pune is an example of scaling in a strategically important geography. The sector has a long runway for growth, and we will continue to engage.

Q: Where do you see the biggest opportunities for value creation over the next decade?
A: We see opportunities across the healthcare services ecosystem. In multi-specialty chains, where we have deployed significant capital, growth will be driven both organically and through consolidation.